

to-Credit' (NTC) segment that human underwriters were missing?

'Project Cyclops' does more than just select 'safer' customers; it identifies nuanced risk factors that traditional human underwriting often misses, particularly in the NTC segment. It has indeed been a game changer for our Two-Wheeler Finance portfolio. The engine processes different data sources, including trust signals, account aggregators, and micro-geography data. This allows the AI to build a comprehensive credit profile for NTC customers with limited or no credit history.

A portion of the improvement in bounce rates also stems from our deliberate shift toward a Prime-dominant portfolio. Notably, 87% of Two-Wheeler Finance disbursements in December 2025 was to customers from the Prime segment as against 53% for the month of March 2024. This reflects our focus on quality growth and risk-adjusted returns.

With the rollout of 'Project Helios,' you haven't needed to add physical underwriting capacity despite growing volumes. In a business as complex as SME Finance, how does the AI handle the 'heavy lifting' of thousand-page files while leaving the final judgement to your experts?

'Project Helios,' is an AI-powered underwriting co-pilot for our SME Finance segment. By deploying autonomous bureau and banking AI agents, we have automated the labour-intensive data synthesis and policy-checking processes. In this project, we have eliminated hours of manual Portable Document Format (PDF) and Excel analysis. This has reduced the average time to underwrite an SME file significantly.

You've managed to grow disbursements by 49% Year-on-Year (YoY) without significantly adding physical underwriting capacity. How do you see the AI-led journey further evolving your operational model to maintain this lean agility as you scale even further?

Our 'risk-first, tech-first' philosophy and shift to a product mindset enabled a

49% YoY disbursement surge to Rs. 22,701 Crore in Q3FY26 without linear headcount increases. Over the next 18 to 24 months, we are integrating a feedback loop where 'Project Nostradamus' signals will automatically tighten 'Project Cyclops' origination parameters. This system auto-correction allows credit managers to shift focus from low-skill tasks such as individual file processing to high-level strategy.

'Project Nostradamus' is live for Two-Wheeler Finance and moving to Personal Loans. What are the unique challenges in training a portfolio management engine for Personal Loans compared with asset-backed Two-Wheeler Finance?

While we are proud of the success of 'Project Nostradamus' in Two-Wheeler Finance, transitioning to Personal Loans shifts focus from asset-backed to purely unsecured credit. Without the safety net of vehicle collateral to offset the Loss Given Default, the engine must rely entirely on predicting a borrower's intent to pay and their future cash flow. This necessitates far more precise Early Warning Signals, as any slippage in the Personal Loan book typically results in a higher net loss for the organisation.

You've noted that India still requires a 'warm body' for sales. How do you balance the 'politeness' of your 40% bot-driven collection calls with the need for high-touch human empathy in your rural and urban branches?

We balance AI efficiency with human empathy through a tiered operational model. Our KAI (Knowledgeable AI) bot handles routine, low-DPD (Days Past Due) collection calls in 11 Indian languages. It is designed with emotionally aware response capabilities to manage interruptions and provide a consistent, respectful customer experience.

You've targeted a 20-30 basis point lift in Return on Assets (RoA) from AI over a 24-to-36-month horizon. As of Q3FY26, where are we on that timeline, and which specific tool— 'Project Cyclops' or 'Project Nostradamus'—is

currently contributing the most to that margin?

We are firmly on track to achieve our guided consolidated RoA of 2.8%–3.0% by the exit of Q4FY27. We have achieved a consolidated RoA of 2.37% as of Q3FY26, before an exceptional item which refers to the one-time impact of the New Labour Code. We are currently in the execution phase, with 'Project Cyclops' fully operational in several business lines and 'Project Nostradamus' in its initial rollout.

'Project Cyclops' is currently contributing the most to our margins. It has significantly reduced credit costs by sharpening underwriting. 'Project Nostradamus' is set to drive further RoA growth in the coming quarters by streamlining collection efficiencies and lowering credit administration costs.

RAISE'25 saw participation from over 4,500 delegates worldwide. Through the Pitch Point platform, which standout innovations have you seen that could specifically accelerate LTF's Lakshya goals and deepen financial inclusion?

Through the Pitch Point platform, an initiative designed to bridge innovative AI solutions with enterprise-scale opportunities, we identified several standout innovations that directly align with our mission to deepen financial inclusion and accelerate our strategic roadmap.

Standout innovations from the Pitch Point platform are, 'SpoofSense,' a specialised AI solution for biometric security and fraud prevention. By ensuring high-fidelity identity verification, this technology allows us to safely expand credit to underserved populations who may lack traditional documentation, reinforcing our 'risk-first' approach.

Then, 'Arrowhead' focused on Generative AI applications, this innovation has the potential to further streamline our onboarding and servicing layers. It complements our goal of creating a tech-first model by making financial services more accessible and intuitive for rural and urban customers alike.